Study of Elite Attitudes on European Integration and World Politics, gave impetus to the study of regional integration. This also led to the growth of a body of literature on integration, which tried to explain the process of integration in Europe and other parts of the world, especially the North Atlantic area.

According to Karl Deutsch*, "Integration… is a relationship among units in which they are mutually interdependent and jointly produce system properties which they would separately lack". He argued that integration between communities would be promoted by the increase in transaction flows, and the multiplication of the channels of communication. Mutually rewarding transactions would lead to better understanding among people (and ultimately to peace). He contended, "Political integration is the integration of political actors or political units such as individuals, groups, municipalities, regions or countries, in regard to the political behaviour". For these integrative efforts, he emphasized certain conditions such as increase in transaction flows, mutual responsiveness, shared values, a relatively high geographic and social mobility of persons.

The transactionalist view does not advocate the case of total surrender of sovereignty or the absolute merger of states into a world federation. The transactionalist simply desire the integration in the form of regional, continental and inter-continental organizations so that the units maintain their interdependence established by a network of mutual transactions. Thus, what Deutsch and other transactionalists do not assume is that the end stage of integration is necessarily a unitary supranational state. Deutsch distinguishes between "amalgamated security community" and "pluralistic security community". In the former, there is a common government that presides over the merger of two or more independent units, into a single larger unit and in the latter there is a peaceful change that is guaranteed and institutionalized in some respects, but in which the individual states retain their legal independence.

But the problems with transactionalists are that they fail to explain whether community formation or integration is the result of increase in transaction flows or precedes it, and also their basic assumption that growth in integration leads to interdependence.[11]